

Company Car Policy

Document control	Details
Company	Northstar Solutions Ltd.
Directive ID	72403881
Version	1.0
Status	Superseded by version 2.0
Classification	Internal
Policy owner	People Operations and Fleet Management
Approved by	Executive Committee
Approval date	2023-11-15
Effective date	2024-01-01
Superseded on	2026-04-01

1. Purpose

This directive defines the eligibility, assignment, use, and return of company cars. Its purpose is to provide employees with safe and cost-effective transportation where regular business travel is required.

2. Scope

This directive applies to all employees who are assigned a company-owned or company-leased passenger vehicle. Pool vehicles used for individual business trips are governed by the Fleet Booking Procedure.

Where local law, tax rules, an employment agreement, or a collective agreement sets a different requirement, that requirement takes precedence.

3. Eligibility and assignment

A company car may be assigned when:

- the employee's role requires at least 10,000 business kilometers per year;
- the employee travels for business on at least 30 percent of working days; or
- the Executive Committee has designated the car as part of the employee's approved compensation package.

The employee's manager and Fleet Management must approve each assignment. Assignment is linked to the employee's current role and is not a permanent entitlement.

4. Vehicle selection and replacement

Fleet Management will offer vehicles from the approved catalog and within the cost band assigned to the employee's role. Petrol, diesel, hybrid, and electric vehicles may be selected based on availability and expected operating cost.

Vehicles are normally replaced after 48 months or 120,000 kilometers, whichever occurs first. Accessories outside the standard catalog require the employee to pay the full additional lease and installation cost.

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5. Permitted use

The vehicle may be used for:

- company business;
- travel between home and the normal place of work; and
- private travel up to 12,000 kilometers per calendar year, where private use is included in the employee's assignment letter.

A spouse or domestic partner may drive the vehicle if named in the assignment letter, holds a valid license, and is accepted by the insurer. No other person may drive the vehicle except in an emergency.

The employee must not use the vehicle for racing, driver training, commercial passenger transport, delivery work, towing without approval, or travel to a country excluded by the insurer.

6. Fuel, tolls, parking, and fines

The company fuel card may be used for business travel and commuting. Fuel used solely for private weekend or holiday travel must be paid by the employee. Business tolls and parking may be claimed through the expense system.

Traffic fines, parking penalties, vehicle impound fees, and costs caused by negligent misuse are the employee's responsibility. The company may recover these costs through payroll where permitted by law and authorized by the employee.

7. Driver responsibilities

The assigned employee must:

- maintain a valid driving license and immediately report any suspension or restriction;
- comply with traffic law and never drive while impaired;
- not use a handheld phone while driving;
- ensure all occupants use seat belts;
- keep the vehicle clean, secure, and smoke-free;
- perform basic checks of tires, lights, fluids, and visible damage;
- present the vehicle for scheduled servicing and inspections; and
- keep an accurate monthly record of business and private mileage.

8. Damage, breakdown, and accidents

Accidents, theft, vandalism, and material damage must be reported to Fleet Management and the insurer within 24 hours. The driver must contact the police when required by law, when a person is injured, or when theft is suspected.

The driver must not admit liability or agree to a private settlement. The accident form, photographs, and details of other parties must be submitted as soon as practicable.

9. Insurance and excess

The company maintains fleet insurance for authorized use. The company pays the standard insurance excess for the first at-fault incident in a rolling 24-month period. The employee may be charged the excess for a later at-fault incident or for damage caused by a prohibited use.

10. Privacy and records

Fleet Management records assignment details, odometer readings, fuel-card transactions, servicing and incident information. Location data is collected only from vehicles fitted with a recovery device and is accessed after a reported theft or with the driver's consent.

Records are retained according to the Corporate Records Schedule and applicable privacy law.

11. Return of the vehicle

The vehicle must be returned on the date specified by Fleet Management when:

- employment ends;
- the employee moves to a role that is not eligible;
- the employee begins an unpaid absence expected to exceed 90 days; or
- the assignment is withdrawn for repeated misuse.

The employee must return all keys, cards, cables, documents, and standard equipment. Charges may apply for missing items or damage beyond normal wear.

12. Non-compliance and exceptions

Misuse may result in withdrawal of the vehicle, recovery of costs, and disciplinary action. Exceptions require written approval from the policy owner and the employee's business-unit director.

13. Version history

Version	Effective date	Summary
1.0	2024-01-01	Initial company-wide directive for assigned vehicles.